

11.28.

a. Demand equation: $Q_i: \alpha_1 + \alpha_2 P_i + \alpha_3 PS_i + \alpha_4 DI_i + e_{di}$

$$\Rightarrow P = \frac{1}{\alpha_2} (Q - \alpha_1 + \alpha_3 PS_i + \alpha_4 DI_i + e_{di})$$

$$= \delta_1 + \delta_2 Q + \delta_3 PS + \delta_4 DI + u_d$$

預期: $\delta_2 < 0$, 需求和數量成反比 (需求法則)

$\delta_3 > 0$, 若替代品價格↑, Truffles ↑, price ↑

$\delta_4 > 0$, 可支配收入↑, if Truffles 為正常財, $D \uparrow$, $P \uparrow$

Supply equation: $Q_i: \beta_1 + \beta_2 P_i + \beta_3 PF_i + e_{si}$

$$\Rightarrow P = \frac{1}{\beta_2} (Q - \beta_1 + \beta_3 PF + u_{si})$$

$$= \phi_1 - \phi_2 Q + \phi_3 PF + u_s$$

預期: $\phi_2 > 0$, 供給, 數量成正比

$\phi_3 > 0$, 若生產成本↑, $P \uparrow$